



National Health Service Contributions Act 1965

1965 CHAPTER 54

An Act to consolidate the National Health Service Contributions Acts 1957 and 1961 and certain related enactments.
[5th August 1965]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Every person who, either as an insured person or as an employer, pays, or is liable to pay, contributions under section 3 of the Insurance Act shall also be liable, in accordance with the following provisions of this section, to pay contributions by virtue of this Act, which shall be known as national health service contributions.

(2) Every person who, in respect of any contribution week, pays, or is liable to pay, a contribution under the said section 3 as a person of a description specified in the first column of the Schedule to this Act, otherwise than in paragraph 4 of that Schedule, shall, in respect of that week, be liable to pay a national health service contribution at the rate specified in relation to that description in the second column of that Schedule.

(3) Subject to the provisions of this Act, every person who, in respect of any contribution week, is liable to pay an employer's contribution under the said section 3 in respect of any person shall, in respect of that week, be liable to pay in respect of that person a national health service contribution at the rate specified in the second column of paragraph 4 of the Schedule to this Act.

(4) National health service contributions shall be paid to the Minister of Pensions and National Insurance, but, as between that Minister and the Minister of Health and the Secretary of State, shall, subject to the following provisions of this Act, be taken to be so paid for the benefit of the Minister of Health, towards the cost of the national health service in England and Wales, and of the Secretary of State, towards the cost of the national health service in Scotland, in such shares as the Treasury may determine.

1946 c. 81.

1947 c. 27.

(5) All sums received by virtue of this Act by the Minister of Health shall be treated as sums received by him under the National Health Service Act 1946 otherwise than as sums required to be transferred to the Hospital Endowments Fund; and all sums received by virtue of this Act by the Secretary of State shall be treated as sums received by him under the National Health Service (Scotland) Act 1947.

Collection,
etc., of
national
health service
contributions.

2.—(1) Subject to the provisions of this section, the provisions of the Insurance Act, including section 15(2)(a) thereof (which relates to the combination of the payment and collection of contributions with that of income tax), shall have effect (for the purposes of that Act as well as for the purposes of this Act)—

- (a) in relation to a person who is liable as an insured person to pay a national health service contribution for a contribution week, as if that contribution and the contribution paid or payable by him for that week under section 3 of the Insurance Act together constituted one combined contribution payable by him under that Act for that week; and
- (b) in relation to a person who is liable as an employer to pay a national health service contribution in respect of a person for a contribution week, as if that contribution and the contribution payable by him for that week under the said section 3 in respect of that person together constituted one combined contribution payable by him under that Act in respect of that person for that week,

and (in either case) as if the whole of the combined contribution in question were payable into the National Insurance Fund.

(2) Except in so far as may be otherwise provided by any Order in Council or regulations made under the Insurance Act after the date of commencement of this Act, the foregoing subsection shall apply in relation to Orders in Council and regulations made or having effect as if made under that Act, whether made before or after that date, as if they were provisions of that Act.

(3) There shall be excluded from the provisions of the Insurance Act which are to have effect as mentioned in subsection (1) of this section the following, namely—

(a) section 7 (which relates to Exchequer supplements to contributions);

(b) section 58 (which relates to payments in lieu of contributions); and

(c) section 83(1) (which provides that contributions shall be paid into the National Insurance Fund);

and nothing in subsection (1) or (2) of this section shall be construed—

(i) as affecting the rate of any contribution under the said section 3; or

(ii) as excepting any person who pays, or is liable to pay, contributions under the Insurance Act, or as conferring any power to except any such person, from liability to pay national health service contributions; or

(iii) as conferring any power to modify the rates of national health service contributions in relation to any class of persons.

(4) References in any enactment other than the Insurance Act and the enactments relating to income tax to contributions under that Act or to sums due to or payable into the National Insurance Fund shall be construed as including references to national health service contributions.

(5) Notwithstanding anything in the foregoing provisions of this section, where a person has paid in error—

(a) contributions under the Insurance Act, and

(b) national health service contributions,

and he or any other person has received any benefit under that Act which, under any provision of that Act or of regulations made thereunder, may be deducted from any repayment of the contributions paid in error under that Act, nothing in that Act or those regulations shall be construed as authorising that benefit to be deducted from any repayment of the national health service contributions paid in error.

(6) This Act binds the Crown, and accordingly section 98 of the Insurance Act (which relates to persons employed by or under the Crown) and section 99 of that Act (which relates to members of Her Majesty's forces), and any Order in Council or regulations made under either of those sections, shall have effect in accordance with the foregoing provisions of this section.

(7) The Treasury may, by statutory instrument, which shall be subject to annulment in pursuance of a resolution of either House of Parliament, make regulations specifying a class of masters or members of the crews of foreign-going ships (as defined by the regulations) and either—

- (a) excepting employers from liability to pay national health service contributions in respect of persons of that class ; or
- (b) reducing, to such extent as may be specified in the regulations, the rates of national health service contributions payable by employers in respect of persons of that class ;

and different provision may be made by regulations under this subsection in respect of different classes of persons.

Application
of national
health service
contributions.

3.—(1) The Minister of Pensions and National Insurance shall, out of the moneys received by him on account of national health service contributions, retain such sums as the Treasury may from time to time determine in respect of any expenses incurred by him or any other government department (except the Postmaster General) which are attributable to the collection and application of those contributions ; and all sums so retained by him shall be paid into the Exchequer.

(2) In estimating the expenses referred to in subsection (1) of this section, there shall be included—

- (a) any amounts in respect of the accruing liability for pension benefits or in respect of the use of premises belonging to the Crown which, under subsection (5) of section 85 of the Insurance Act, fall to be included in estimating for the purposes of subsection (4) of that section the expenses referred to in subsection (1) thereof ; and
- (b) an amount equal to such part of the sums referred to in subsection (2) of the said section 85 as is attributable to the execution of the Insurance Act,

in so far as those amounts are determined by the Treasury to be attributable to the collection and application of national health service contributions ; and for the purposes of the said section 85(2), work done by the Postmaster General in the execution of section 2 of this Act shall be treated as done in the execution of the Insurance Act.

(3) The Minister of Pensions and National Insurance shall account to the Minister of Health and the Secretary of State for such sums as the Minister of Pensions and National Insurance may from time to time estimate, in such manner as the Treasury may direct, to represent the shares of national health service contributions apportioned to them respectively in accordance with section 1(4) of this Act, subject to the deduction

from each of those shares of the proportion attributable thereto of the sums retained by the Minister of Pensions and National Insurance under subsection (1) of this section ; and the Minister of Pensions and National Insurance shall pay to the Minister of Health and the Secretary of State, at such times as the Treasury may direct, the sums for which he is required to account to them in accordance with this subsection.

4. Any expenses incurred by the Minister of Pensions and National Insurance and any other government department (except the Postmaster General) in carrying this Act into effect, including—

- (a) an amount equal to any sums retained by the said Minister under section 3(1) of this Act by virtue of subsection (2)(b) of that section ; and
- (b) any expenses incurred in carrying into effect section 15 of the Insurance Act so far as estimated by the said Minister to be attributable to the collection by virtue of section 2(1) of this Act of national health service contributions,

shall be defrayed out of moneys provided by Parliament.

5.—(1) Where in accordance with the provisions of—

- (a) section 104 of the Insurance Act (which relates to reciprocal arrangements with Northern Ireland) or any regulations having effect under that section ; or
- (b) any such agreement as is mentioned in section 105 of the Insurance Act (which relates to reciprocal agreements with countries outside the United Kingdom), being an agreement relating to the Isle of Man, or any Order in Council made for the purpose of giving effect to such an agreement,

Financial
adjustments
with
Northern
Ireland and
Isle of Man.

financial adjustments are made in respect of any class of persons to which this subsection applies as being persons who pay contributions under the Insurance Act but who are to be treated as belonging to Northern Ireland or the Isle of Man, as the case may be, the Minister of Health shall out of moneys provided by Parliament pay to the appropriate authority or fund such sums as may be attributable to national health service contributions in respect of that class of persons.

(2) The foregoing subsection applies to the following classes of persons, that is to say—

- (a) members of any of Her Majesty's forces ;
- (b) masters and members of the crews of foreign-going ships as defined for the time being by regulations made under the Insurance Act as mentioned in section 100 of that Act ;

- (c) any class of persons constituting a part of the class specified in either of the foregoing paragraphs.

(3) For the purposes of subsection (1) of this section, the sums attributable to national health service contributions in respect of any class of persons shall be taken to be such sums as may from time to time be estimated, in such manner as the Treasury may direct, to represent the amounts received by the Minister of Pensions and National Insurance on account of national health service contributions paid by or in respect of persons of that class, reduced by so much of the expenses and amounts in respect of which sums are required to be retained under section 3(1) and (2) of this Act as is attributable to the collection and application of those contributions.

(4) In this section the expression "the appropriate authority or fund"—

- (a) where the financial adjustments in question relate to Northern Ireland, means the Exchequer of Northern Ireland ;
- (b) where the financial adjustments in question relate to the Isle of Man, means such authority or fund as may be designated by the Lieutenant-Governor or Deputy Lieutenant-Governor of the Isle of Man.

Corresponding
legislation
in Northern
Ireland.

6.—(1) Subject to subsection (2) of this section, no limitation or restriction imposed by virtue of any enactment on the powers of the Parliament of Northern Ireland shall preclude that Parliament from passing legislation for purposes similar to the purposes of any of the provisions of this Act.

(2) Nothing in this section shall authorise the Parliament of Northern Ireland to require any contribution to be paid by or in respect of any person in respect of his service or employment as a member of any of Her Majesty's forces.

Interpretation.

7.—(1) In this Act, the following expressions have the following meanings respectively, that is to say—

"contribution week", "employer" and "insured person", and any expression used in the Schedule to this Act which is also used in the Insurance Act, have the same meanings respectively as in the Insurance Act ;

"Her Majesty's forces" includes any such organisation as is mentioned in section 99(4) of the Insurance Act (which relates to certain organisations under the control of the Defence Council) ;

"the Insurance Act" means the National Insurance Act 1965, and, except where the context otherwise requires,

includes any other Act passed after this Act which may be cited together with the Insurance Act in a citation which uses the phrase "the National Insurance Acts."

(2) Except in so far as the context otherwise requires, any reference in this Act to an enactment shall be construed as a reference to that enactment as amended by or under any other enactment, including any enactment contained in this Act.

8.—(1) Any instrument in force immediately before the commencement of this Act and made under or by virtue of any enactment repealed by the Statute Law Revision (Consequential Repeals) Act 1965 but re-enacted in this Act, and any other thing done under or by virtue of any such enactment, shall be deemed to have been made or done under or by virtue of the corresponding provision of this Act; and anything begun under or by virtue of any such enactment may be continued under or by virtue of this Act as if begun under or by virtue of this Act.

(2) So much of any document as refers expressly or by implication to any enactment repealed and re-enacted as aforesaid or to the Act containing that enactment shall, if and so far as the context permits, be construed as referring to the corresponding provision of this Act, or, as the case may be, to this Act.

(3) In relation to any enactment repealed and re-enacted as aforesaid, section 38(1) of the Interpretation Act 1889 shall have effect as if the said Act of 1965 formed part of this Act; and nothing in subsections (1) and (2) of this section shall be taken as affecting the general application of the said section 38 as modified by this subsection with regard to the effect of repeals.

9.—(1) This Act may be cited as the National Health Service Contributions Act 1965.

Short title,
extent and
commence-
ment.

(2) Without prejudice to the operation in relation to any matters arising out of this Act of sections 104, 111 and 117 of the Insurance Act, this Act except sections 6, 7 and 8 thereof shall not extend to Northern Ireland.

(3) This Act shall come into force on the same day as the National Insurance Act 1965.

1965 c. 51.

Section 1.

SCHEDULE

RATES OF NATIONAL HEALTH SERVICE CONTRIBUTIONS

<i>Description of persons</i>	<i>Weekly rate of contribution s. d.</i>
1. Employed men between the ages of 18 and 70, other than men over the age of 65 who have retired from regular employment	2 8½
2. Employed women between the ages of 18 and 65, other than women over the age of 60 who have retired from regular employment	2 0½
3. Employed boys and girls under the age of 18 ...	1 4½
4. Employers	7½
5. Self-employed men between the ages of 18 and 70, other than men over the age of 65 who have retired from regular employment	2 10
6. Self-employed women between the ages of 18 and 65, other than women over the age of 60 who have retired from regular employment	2 2
7. Self-employed boys and girls under the age of 18 ...	1 6
8. Non-employed men between the ages of 18 and 65 ...	2 10
9. Non-employed women between the ages of 18 and 60 ...	2 2
10. Non-employed boys and girls under the age of 18 ...	1 6